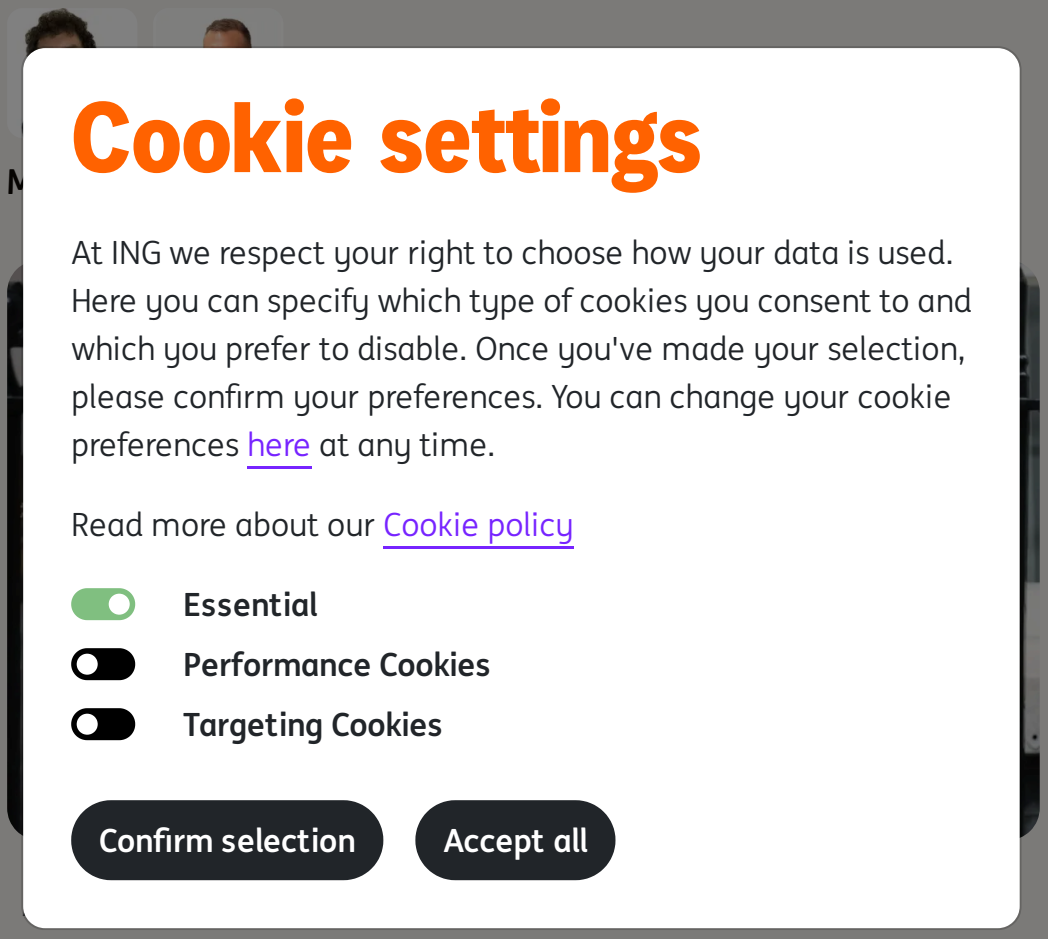
Barring a Brazilian-style election surprise, the Fed should leave rates unchanged. It seems the US 10yr is waiting to tick this off before it deviates too much from 5%. Meanwhile, the UK 10yr yield should ease lower after the UK Autumn Budget as the tail risk of spending surprises get priced out (we estimate a political risk premium of c.20bp in the 10yr)



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Gilts should find some relief in a boring budget, but risks remain

Gilt markets are always a bit nervous heading into the Autumn Budget announcement, and this year is no different. We estimate the risk premium embedded in the 10Y gilt yield to be around 20bp, whereas this was close to zero a few months ago. Overall though, global factors continue to be the bigger driver of sterling rates and with energy hitting new highs, we don't expect this to change.

Gilt auction results held up relatively well leading up to this budget, whereas last year's auctions reflected more nervousness. The bid-to-cover ratios and yield tails in the three auctions preceding the 2025 budget announcement showed some weakness. However, this is not evident in the most recent 10yr gilt auction last week. And also Tuesday's 6yr gilt auction showed healthy demand.

But we do think a bit of a relief rally could take place as the budget turns out to be more boring than Burnham's ambitions would imply. Also, last year the auctions just after the budget looked slightly better and gilts rallied on the shortening of issuance maturities. An unwinding of the risk premium would offer up to 2

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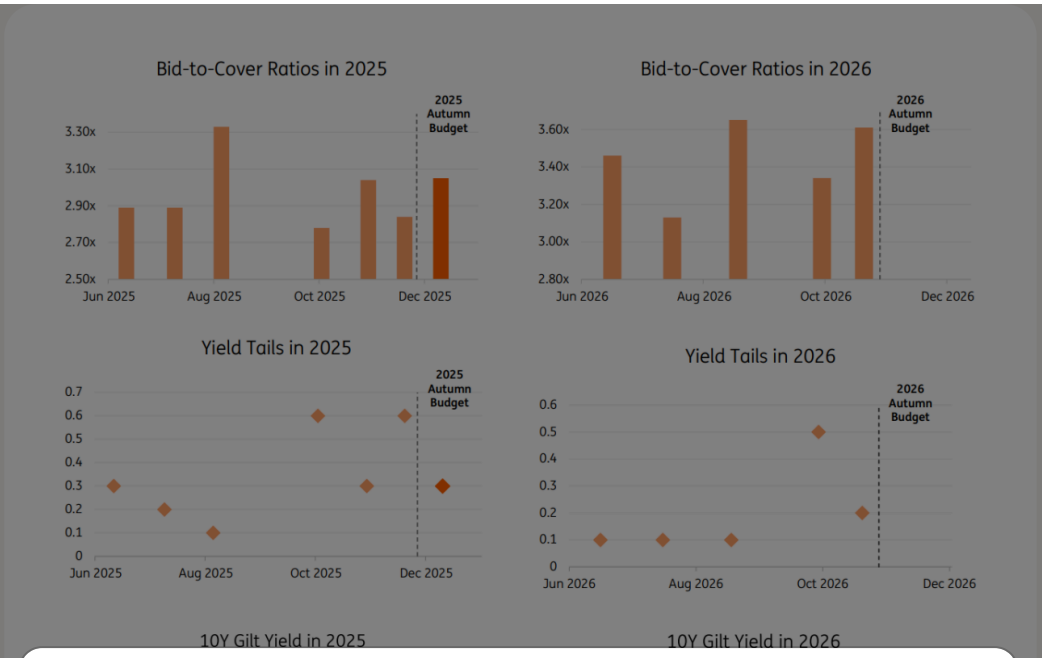
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dramatically with the prior break above 5.25%. We're not convinced that the more recent downward lurch will persist. But its genesis lends itself to a softer approach from the FOMC at this meeting.

Whether we remain below 5% for the 10yr yield is a whole other question. We're minded to expect it to snap back above, as we still have inflation, a fiscal deficit, and AI-boom-related impulses at play. The Fed will no doubt remind us of these ongoing pressures. We think it should ultimately move back above 5%; the timing, however, is a tougher call.

It's remarkable how the 10yr yield has been clinging to the 4.99% level. It's like a comfort level; technically below 5%, but not too far below in case it needs to turn tail and shoot back up again. A super dovish Warsh would validate its recent break below 5%. In contrast, a super hawkish Warsh (without an actual hike) would tempt it back above. Anything in between (which is most likely) would leave it where it is.

We're likely still some way from the Fed spelling out a plan to shrink its balance sheet, which we know remains a policy objective for Chair Warsh. We expect recommendations from the various committees to surface closer to the turn of the year. Meanwhile, li
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